EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Local Government Unit of Santa Ana was created by virtue of Executive Order No. 289, signed by President Elpidio Quirino on October 21, 1949, which took effect on January 1, 1950.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Santa Ana for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Santa Ana, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	777,142,381.29	687,853,476.60	89,288,904.69
Liabilities	222,429,164.39	204,691,737.13	17,737,427.26
Government Equity	554,713,216.90	483,161,739.47	71,551,477.43
Financial Performance			
Income	304,238,539.70	225,907,032.33	78,331,507.37
Expense	221,854,405.79	190,601,586.73	31,252,819.06
Appropriations, Allotments and Obligation			
Appropriations	322,219,855.56	264,859,748.58	57,360,106.98
Allotments	322,219,855.56	264,859,748.58	57,360,106.98
Obligations	274,719,882.47	216,594,856.00	58,125,026.47

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Santa Ana, Cagayan for the year ended December 31, 2022 due to: (1) non-submission of the Report on Physical Count of Property, Plant and Equipment and inclusion of properties below the capitalization threshold of P15,000 in the Property, Plant and Equipment account of the Municipality, with a net book value of P347,009,683.65; (2) non-transfer of the unexpended balances of the Quick Respond Fund and the DRRMF-MOOE for CY 2022 to the Special Trust Fund amounting to P6,832,962.31; and (3) improper recording of RPT/SET Receivables amounting to P11,878,593.90.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P347,009,683.65 as at December 31, 2022 cannot be determined due to the non-submission of the Report on Physical Count of Property, Plant and Equipment, contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.**

   We recommended that the Management submit the Inventory Report using the prescribed form of Report of Physical Count of Property, Plant and Equipment showing relevant information, such as property number, unit value, balance of PPE per property cards and per count pursuant to COA Circular No. 2020-006 dated January 31, 2020 and undertake all other procedures prescribed under the same Circular to come up with the reconciled and correct balances of PPE accounts in the financial statements.

2. **The reliability and accuracy of the Special Trust Fund under the account "Trust Liability-DRRM" amounting to P6,678,901.11 cannot be relied upon due to non-transfer of the unexpended balances of the Quick Respond Fund and the DRRMF-MOOE for CY 2022 to the Special Trust Fund, contrary to the accounting and reporting guidelines prescribed in COA Circular No. 2012-002 dated September 12, 2012, thus, misstating the financial statements.**

   We recommended that the Management cause the transfer of the unexpended/unobligated balances of the Quick Response Fund and the DRRMF-MOOE at the end of the year to the Special Trust Fund under the

account "Trust Liabilities-DRRMF" and strictly comply with the accounting guidelines and disclosures of LDRRMF under COA Circular No. 2012-002.

3. **The amounts set up as Real Property Tax and Special Education Tax Receivables of P11,878,593.90 each at the beginning of the year were not based on the Real Property Tax Account Register/ Taxpayer's index card, contrary to Section 246 of the Republic Act No. 7160 and Section 20 of the Manual on the New Government Accounting System, Volume I, thus, the accuracy, validity and reliability of the affected accounts could not be ascertained.**

   We recommended that the Municipal Mayor require:

   a. The Municipal Treasurer, in coordination with the Municipal Assessor, to prepare and furnish the Municipal Accountant a duly certified list of taxpayers showing the names and the amounts due and collectible based on updated Real Property Tax Account Register/Taxpayer's Index Card to provide an accurate and reliable basis in setting up the Receivables from RPT and SET;

   b. The Municipal Accountant to draw a Journal Entry Voucher to record the RPT/SET Receivables established at the beginning of the year based on the submitted duly certified list of taxpayers with the amount due and collectible for the year and maintain the corresponding subsidiary ledgers to monitor tax collections and delinquencies; and

   c. The Municipal Assessor to undertake thorough review on the assessments of real properties within the Municipality for taxation so that the Accounting Department could take up a more realistic RPT/SET Receivables in the books of accounts.

4. **Properties below the capitalization threshold of P15,000.00 are still included in the Property, Plant and Equipment account of the Municipality, contrary to Item 4.2 of COA Circular No. 2020-006 dated January 31, 2020, and Item 2.2 of Circular No. 2005-002 dated April 14, 2005, thus, casts doubt on the reliability of the balance of the said account amounting to P347,009,683.65 as of December 31, 2022.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Instruct the Municipal Accountant to prepare the adjusting entries for the reclassification of PPE items below the capitalization threshold of P15,000.00 to appropriate accounts; and

b. Instruct the GSO-Designate to cancel the Property Acknowledgement Receipts of the properties below the capitalization threshold and issue an Inventory Custodian Slip in lieu thereof.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-		-	-	-
Total	**-**	**-**	-	-	**-**
Disallowances					
Prior Years	15,522,364.76	3,640,000.00	-	19,162,364.76	-
Current Year	-	-	-	-	-
Total	**15,522,364.76**	**3,640,000.00**	**-**	**19,162,364.76**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

F. Status of Implementation of Prior Years' Audit Recommendations

Out of fourteen (14) audit recommendations embodied in the prior years' annual audit reports, five (5) were fully implemented, eight (8) were partially implemented and one (1) was not implemented.

ITO Form No. 04

ERRATA				
Particulars	**Date Published**	**Location/ Page**	**As Published in the COA Website**	**Correction**
Annual Audit Report on the Municipality of Santa Ana, Cagayan for the year ended December 31, 2022	June 30, 2023	Executive Summary, Letter F, page 4	**F. Status of Implementation of Prior Year's Audit Recommendations** Out of fourteen (14) audit recommendations embodied in the prior years' annual audit reports, five (5) were fully implemented, eight (8) were partially implemented and one (1) was not implemented.	**F. Status of Implementation of Prior Year's Audit Recommendations** Out of fourteen (14) audit recommendations embodied in the prior years' annual audit reports, seven (7) were fully implemented, six (6) were partially implemented and one (1) was not implemented.

Submitted by:

AILEEN R. VERGARA
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Date: July 31, 2023

Authorized by:

HECTOR L. CORTES
Sector Head/Director

Date: July 31, 2023